

Microeconomics Group Assignment 2

Fogel Study Group 1

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Problem 29

TRUE.

29 $P_A = 10 \$$ $MU_A = 120$
 $P_F = 25 \$$ $MU_F = 300$

✓ For optimal allocation

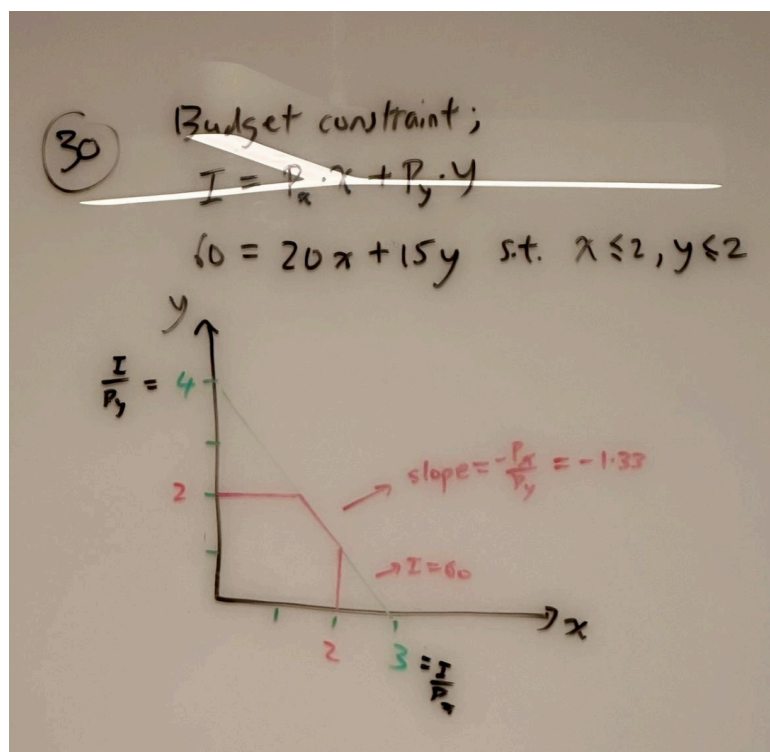
$$\frac{MU_F}{P_F} = \frac{MU_A}{P_A} = \frac{120}{10} = 12$$

Ans: yes, consumed at optimal allocation

The handwritten solution shows the calculation of the marginal utility per price for two goods, A and F. For good A, the price is 10 dollars and the marginal utility is 120, resulting in a ratio of 12. For good F, the price is 25 dollars and the marginal utility is 300, also resulting in a ratio of 12. The equality of these ratios is used to confirm that the allocation is optimal.

Problem 30

A.



B.

$$MU_x = 240$$

$$MU_y = 200$$

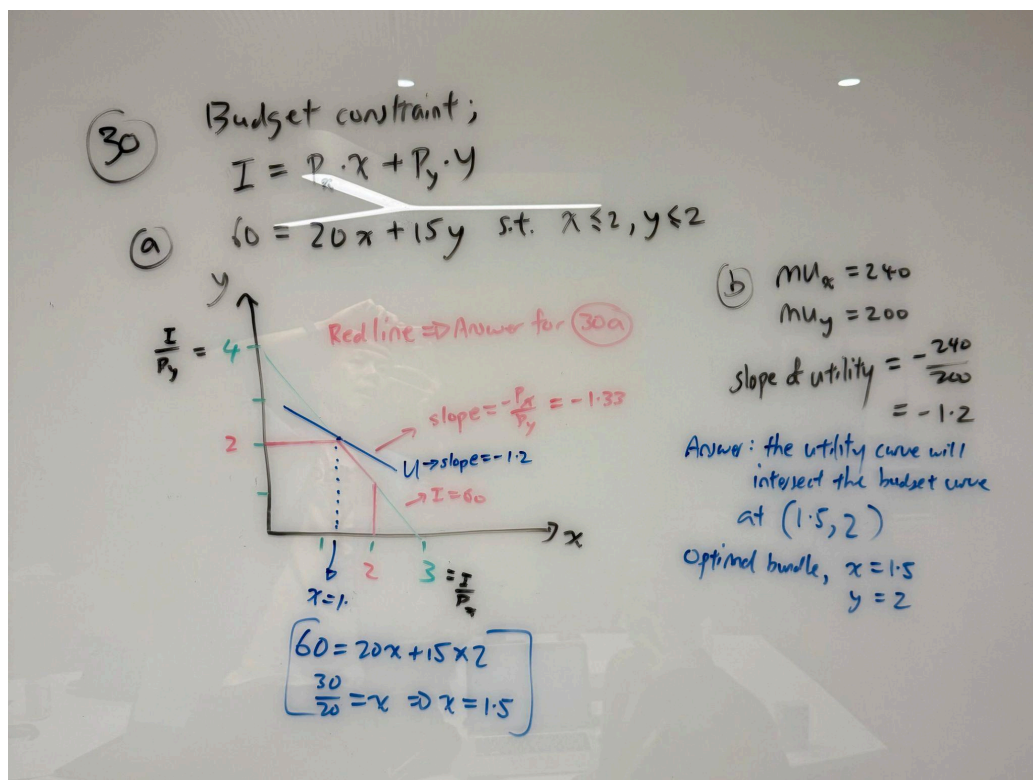
$$\text{Slope of utility} =$$

$$- 240/200 = -1.2$$

The utility curve will intersect the budget curve at (1.5, 2)

Optimal bundle,

$$X = 1.5, Y = 2$$



Problem 34

